CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
$91,000 Median HH Income	▲	▲
1.1% Population Growth	▼	▲
3.6% Unemployment Rate	▲	▲

Source: BLS

ECONOMIC INDICATORS

	YOY Chg	Outlook
1.4% GDP Growth	▼	▲
3.0% Consumer Spending Growth	▼	▲
3.2% Retail Sales Growth	▲	—

Source: BEA, Census Bureau

ECONOMY: STEADY GROWTH AMIDST RISING UNEMPLOYMENT

In Q2 2025, the Phoenix Metro reported an employment level of 2.5 million jobs, while the unemployment rate rose from 3.0% in Q2 2024 to 3.6%. Despite the uptick, the Valley's unemployment rate remained well below the national average of 4.2%, ranking as the fourth-lowest among major U.S. cities with employment exceeding 2.0 million jobs. Population growth persisted, though at a slower pace than in prior quarters, registering a 1.6% year-over-year (YOY) increase. Strong wage gains continued to draw job seekers into the labor force, with the median household income rising 3.6% YOY to $91,000. Meanwhile, the Consumer Price Index for the Phoenix area rose only 0.3% YOY, according to the Bureau of Labor Statistics.

DEMAND: HEALTHY ABSORPTION SUPPORTS STABLE VACANCY

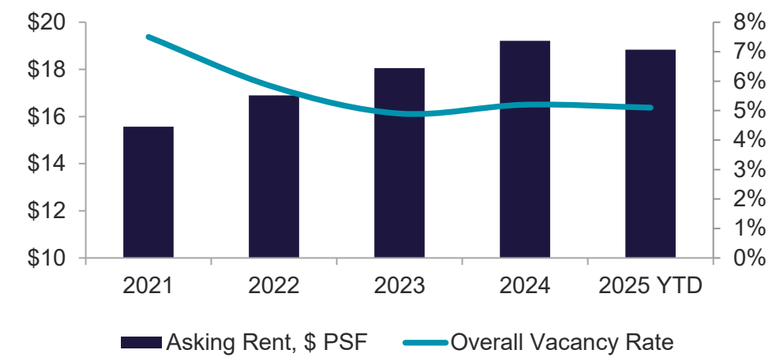
Supply and demand remained well-balanced in the Phoenix retail market in Q2 2025, with the overall vacancy rate holding steady at 5.1% quarter-over-quarter (QOQ) and rising by just 10 basis points (bps) YOY. The Tempe and North Central Phoenix submarkets led the overall Metro with QOQ vacancy declines of 140 bps and 70 bps, respectively, helping offset 60-bps increases in the Southwest Phoenix, Scottsdale and Sky Harbor Airport submarkets.

In Q2 2025, the Metro registered 219,006 square feet (sf) of positive absorption, pushing the year-to-date total to 433,268 sf. This activity represents a 17% increase compared to the first half of 2024, and a substantial improvement compared to the 22,541-sf of absorption noted in last year's second half. During the quarter, the Tempe (90,323 sf) and Northwest Phoenix (76,425 sf) submarkets had the strongest net absorption in the Metro, while Scottsdale (-83,856 sf) and Mesa (-29,398 sf) experienced the most negative absorption.

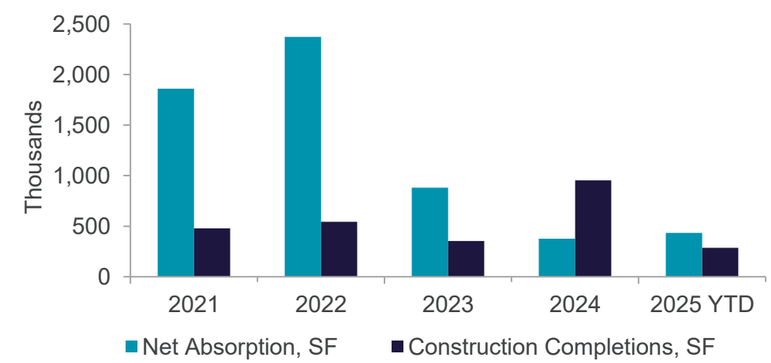
PRICING: RENTAL RATES SUSTAIN GROWTH TRAJECTORY

The overall average asking rate across the Phoenix retail market grew by 1.0% YOY to $18.84 per square foot (psf) on an annual triple net basis in the second quarter of 2025. Growth was primarily driven by the Mesa and Northwest Phoenix submarkets, which reported YOY increases of 8.4% and 7.5%, respectively. During the quarter, the Scottsdale submarket retained the highest asking rate in the Metro, at $28.81 psf, while the Southwest Phoenix submarket had the lowest average asking rate at $11.64 psf.

ASKING RENT / VACANCY RATE



SPACE DEMAND / DELIVERIES



Source: CoStar

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (NNN)*
Northwest Phoenix	28,504,651	31,609	1,100,521	4.0%	76,425	201,656	261,411	230,355	$19.93
Southwest Phoenix	3,962,486	1,898	208993	5.3%	-23,146	-33,093	25,093	0	$11.64
North I-17	18,712,728	3,154	1,281,778	6.9%	62,435	-73,849	326,935	15,720	$16.50
North Central Phoenix	10,033,658	16,739	421,426	4.4%	72,206	87,860	197,523	92,000	$19.53
Scottsdale	14,819,159	13,878	682,541	4.7%	-82,856	-6,745	167,805	0	$28.81
Mesa	8,303,505	4,661	778,648	9.4%	-29,398	-100,234	110,688	0	$13.92
Southeast Valley	39,123,276	27,556	1,767,569	4.6%	76,208	207,918	449,128	321,502	$18.77
Tempe	6,747,065	0	278,303	4.1%	90,232	145,129	45,540	150,000	$18.15
Sky Harbor Airport	1,128,648	0	46,010	4.1%	-6,870	-1,194	8,702	0	$16.70
East Phoenix	4,742,225	0	241,552	5.1%	-16,402	5,563	50,152	0	$18.82
CBD	455,054	0	16,139	3.5%	172	257	4,558	0	$38.41
PHOENIX TOTALS	**136,532,455**	**99,495**	**6,823,480**	**5.1%**	**219,006**	**433,268**	**1,647,535**	**809,577**	**$18.84**

** Rental rates reflect Triple Net asking $PSF/Year*

KEY LEASE TRANSACTIONS Q2 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Village Square II	North Central Phoenix	IKEA	75,312	Direct
Glendale Galleria	North I-17	Amped Fitness	37,000	Direct
3333 N Arizona Ave	Southeast Valley	STG Automotive	35,468	Sublease
1 W Chandler Blvd	Southeast Valley	Padeland	35,143	Direct
Chandler Festival	Southeast Valley	Wayfair Outlet	31,906	Direct

KEY SALE TRANSACTIONS Q2 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Scottsdale Quarter	Scottsdale	Washington Prime Group / Falconeye Ventures	755,000	$645M / $854
Superstition Gateway	Southeast Valley	Desert Troon Companies / Alvarez & Marsal	495,204	$121M / $244
Sundance Towne Center	Southwest Phoenix	Continental Realty / Shin Yen Investments	196,326	$101M / $514
Corona Del Sol Plaza	Southeast Valley	Jason Mussman / TWR Real Estate Partners	62,071	$13.4M / $216
Tuscany Village	Scottsdale	Irwin G. Pasternack / Kevin Cox	40,194	$11.2M / $277

Sources: Costar, MSCI Real Capital Analytics, Vizzda

KEY CONSTRUCTION COMPLETIONS YTD 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
EOS – Hudson Station	Southeast Valley	EOS Fitness	61,000	Barclay Group
Morrison Ranch – Fry's & Shops A	Southeast Valley	Fry's Marketplace	59,209	Barclay Group
Marley Park Square	Northwest Phoenix	Fazoli's	40,000	DropTine Property Developers

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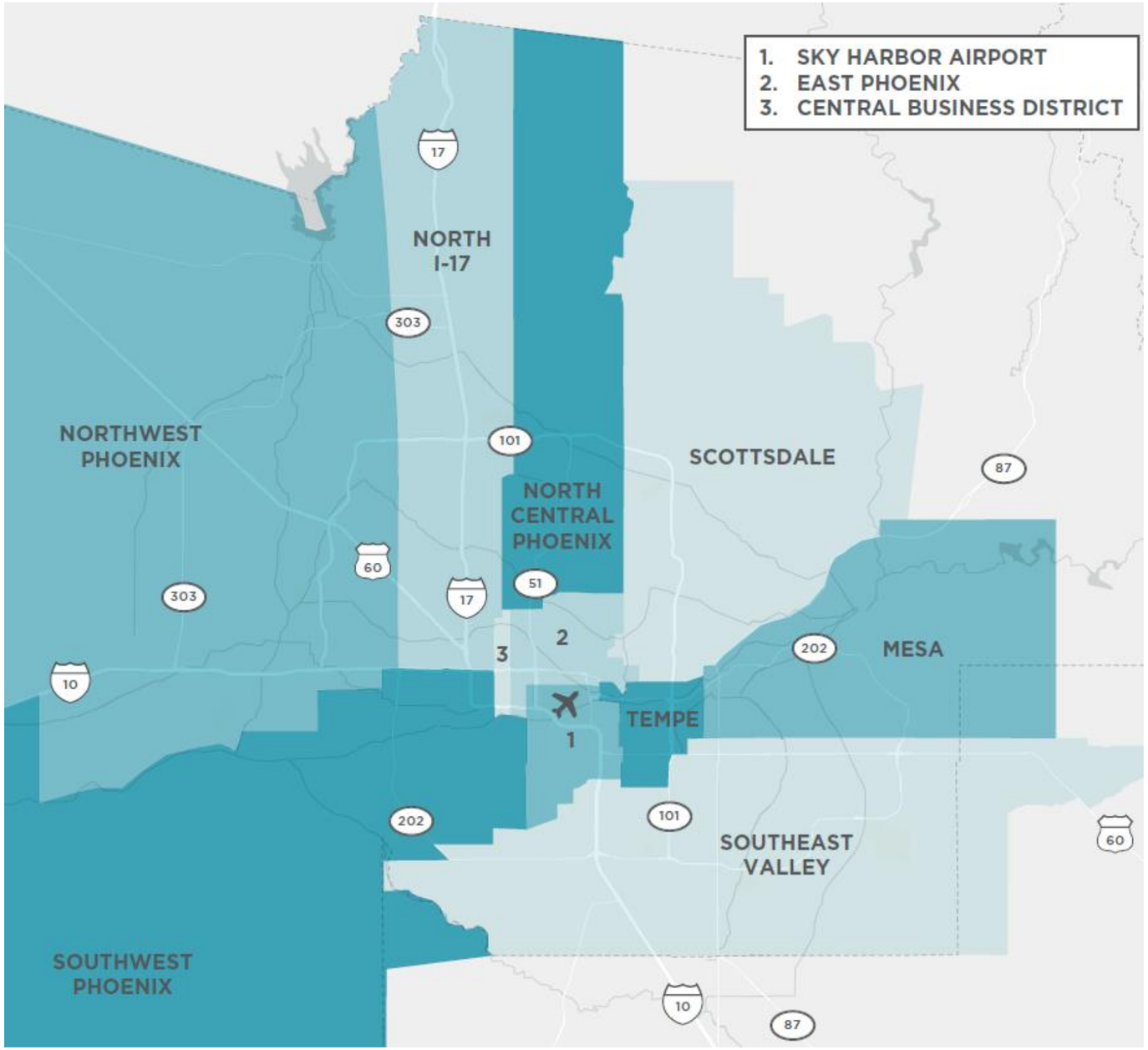
RETAIL SUBMARKETS



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